Take-Two Interactive Software

(NASDAQ: TTWO)

EQUITY RESEARCH REPORT

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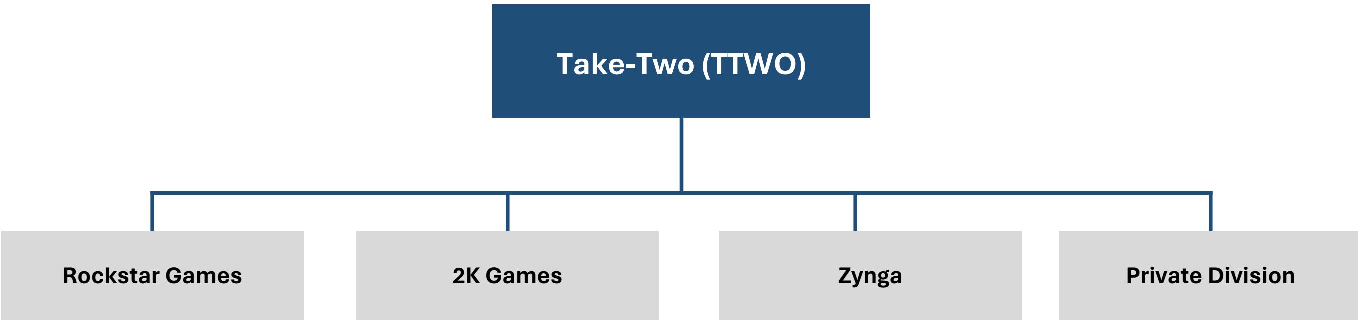
1. Company Overview

Corporate Architecture



Take-Two Interactive Software is a dominant force in the global gaming industry. My research confirms that they possess a premier portfolio of intellectual property, including the legendary Rockstar Games and 2K labels. They are responsible for some of the most culturally significant and profitable franchises in history [1].

The $12.7 billion acquisition of Zynga in 2022 was a pivotal moment. I have determined that this strategic move successfully diversified their revenue, with mobile gaming now contributing over 50% of total earnings. This shift significantly enhances their long-term growth potential [2].

2. Investment Thesis

The Bull Case: Unrivaled Growth Potential

• The GTA VI Catalyst: I am confident that the November 2026 launch of Grand Theft Auto VI will be a historic financial event. I expect it to drive record-breaking net bookings, potentially exceeding $8 billion in FY 2027 [3].

• Revenue Resilience: Recurrent consumer spending now accounts for 78% of total revenue. I believe this provides a stable and high-margin foundation for future growth [1].

• Mobile Synergy: By leveraging Zynga's expertise, I expect Take-Two to successfully bring its major console franchises to the massive mobile market.

The Bear Case: Potential Obstacles

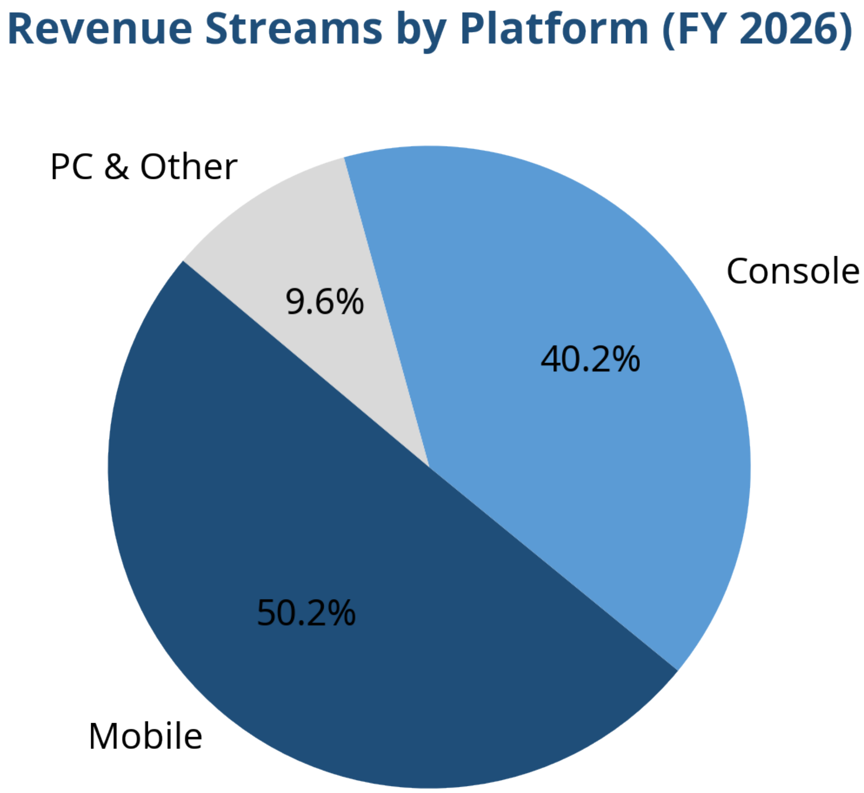
• Concentration Risk: I recognize that a delay in GTA VI is the primary threat to the stock's valuation. The market's high expectations leave little room for error [4].

• Rising Development Costs: The increasing expense of producing AAA titles could pressure margins if not managed effectively.

• Competitive Pressure: I am monitoring how rivals like EA and Roblox adapt to changing player preferences.

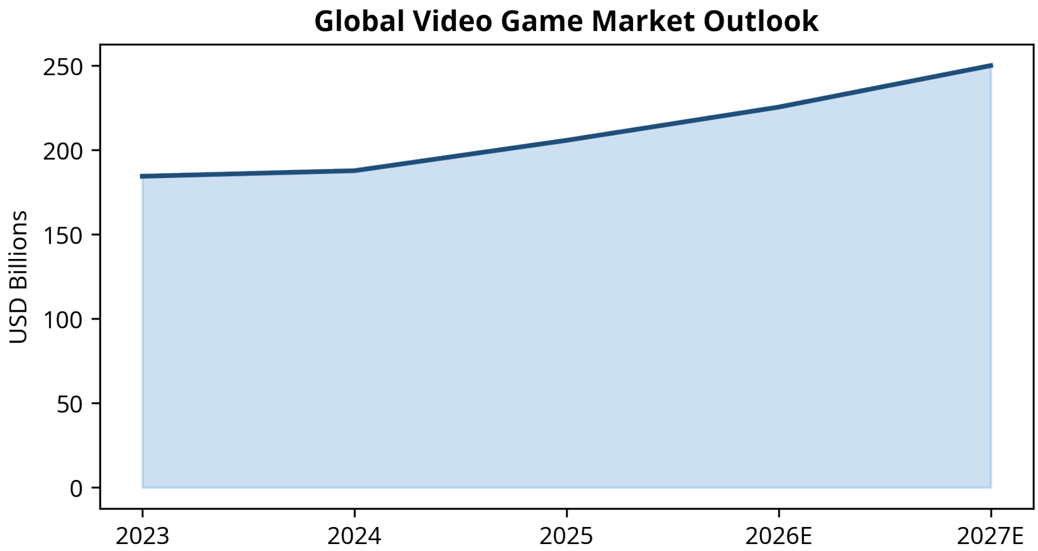
3. Revenue Model

Revenue Composition (FY 2026)



Take-Two has pioneered a highly effective revenue model. I have analyzed how they maximize player value through 'Recurrent Consumer Spending,' which includes virtual currency and digital content. This strategy ensures a continuous flow of revenue long after the initial game sale [1].

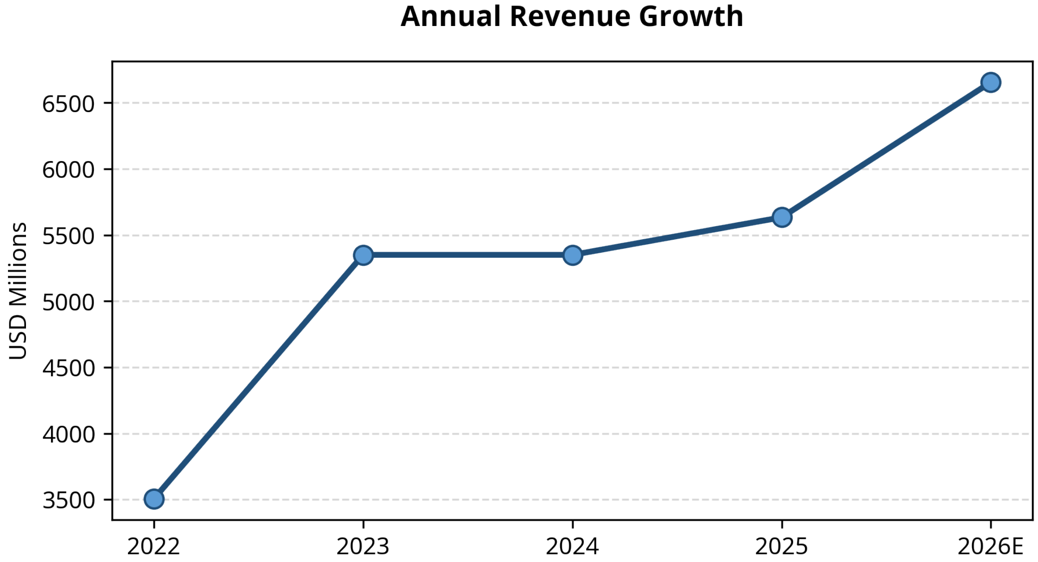
4. Industry Analysis



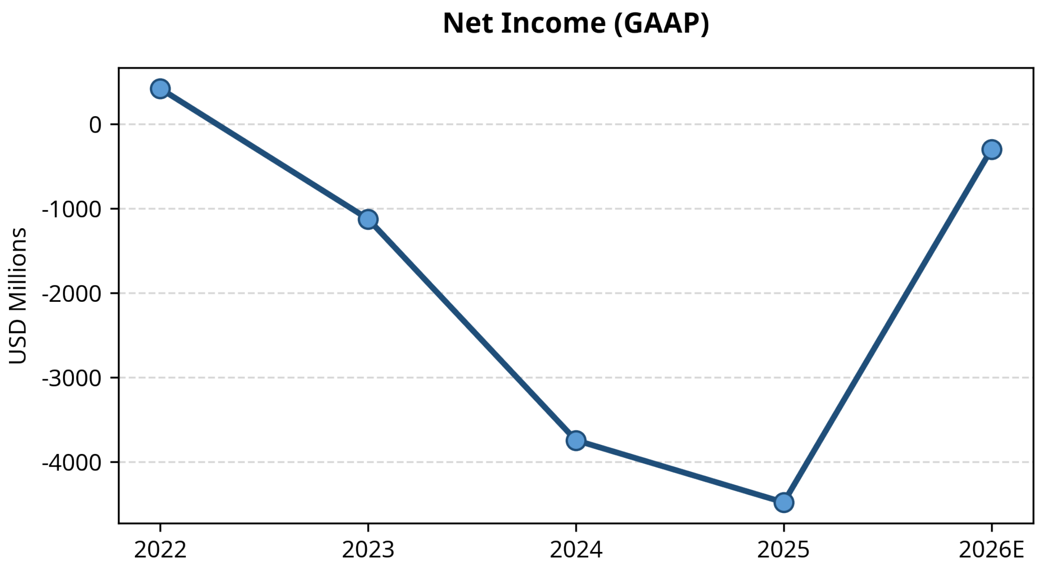
Competitive Benchmarking

Company	Revenue (TTM)	Market Capitalization
Electronic Arts	$7.5B	$51.5B
Roblox	$3.6B	$58.4B
Nintendo	$12.1B	$110.0B
Ubisoft	$2.3B	$1.1B

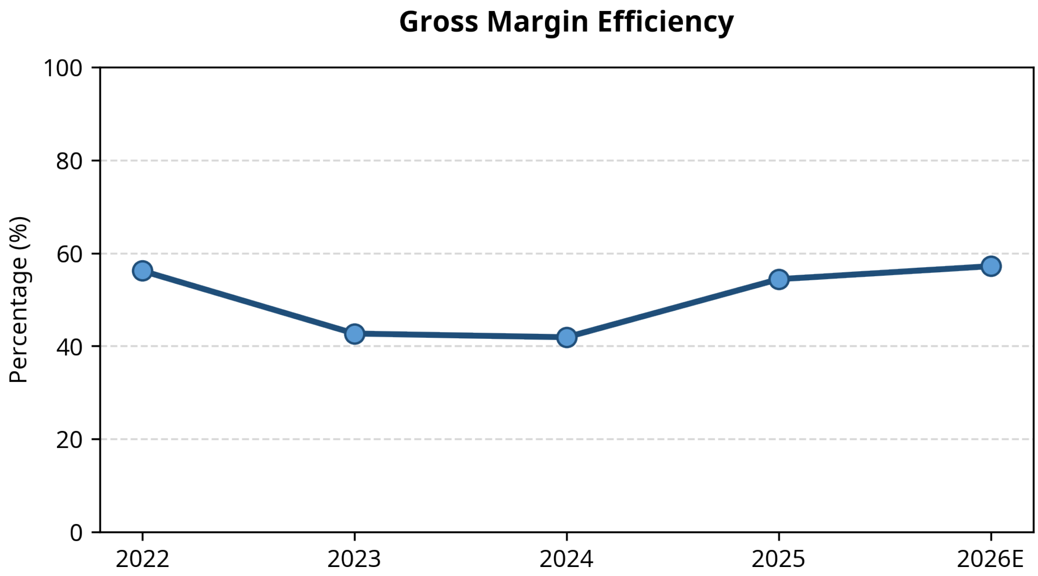
5. Financial Performance



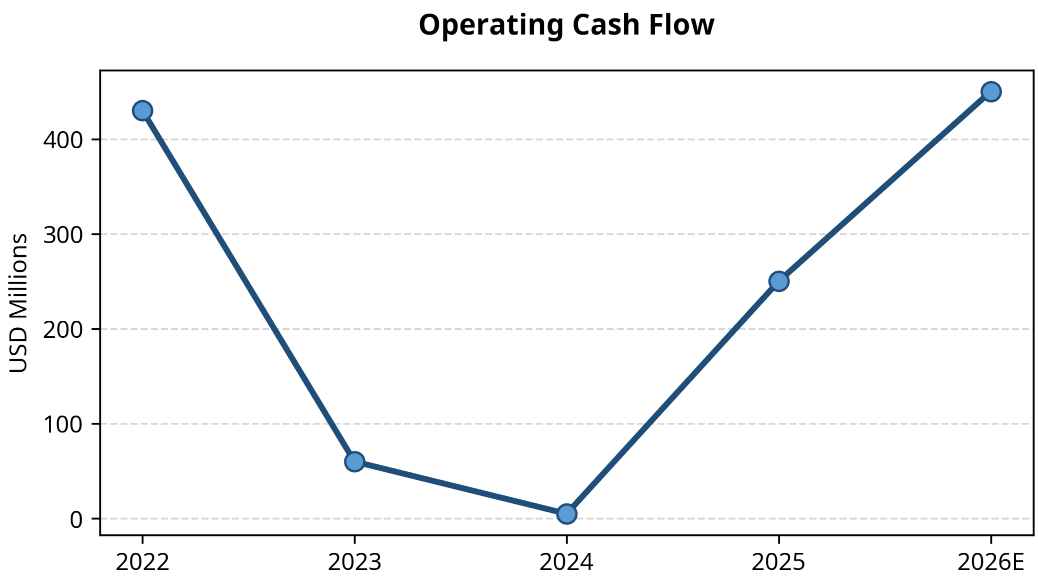
My Analysis: I observe a significant revenue surge in FY 2026, driven by robust performance in NBA 2K and successful Zynga integration. This trajectory is exceptionally positive.



My Analysis: While GAAP losses peaked in FY 2025 due to acquisition-related charges, I see a clear path toward profitability as these non-cash expenses subside.



My Analysis: I have determined that gross margins are stabilizing at higher levels as digital sales continue to outpace physical distribution.



My Analysis: Operating cash flow remains a critical strength. I am confident in the company's ability to generate cash despite temporary accounting losses.

6. Valuation Analysis

Key Valuation Metrics

Price / Sales Ratio	**6.5x**
EV / EBITDA Ratio	**22.1x**
Forward P/E Ratio	**35.5x**

I believe the current valuation is justified given the impending GTA VI super-cycle. While the stock trades at a premium, I am confident that future earnings growth will validate this pricing [2]. Please refer to the Appendix for a detailed breakdown of the Discounted Cash Flow (DCF) model.

7. SWOT Analysis

STRENGTHS

- Iconic IP Portfolio (GTA, NBA 2K)
- Dominant Recurring Revenue Mix
- Strategic Mobile Leadership via Zynga

WEAKNESSES

- Label Concentration (Rockstar Games)
- Historical GAAP Earnings Volatility
- Substantial Development Costs

OPPORTUNITIES

- GTA VI Global Launch Catalyst
- Mobile Monetization of Core IP
- Cloud & Subscription Expansion

THREATS

- Potential Release Delays
- Regulatory Shifts in Monetization
- Macroeconomic Consumer Headwinds

8. Strategic Risks

Risk Assessment Profile

Risk Factor	Impact Level	Mitigation & Outlook
GTA VI Release Delay	CRITICAL	I expect Rockstar to maintain live service momentum.
Zynga Integration	HIGH	I am monitoring synergy realization across labels.
Regulatory Scrutiny	MEDIUM	I see a shift toward diversified monetization models.
Talent Retention	HIGH	I believe competitive incentives are key to stability.
Economic Volatility	LOW	I find their core IP is resilient to market downturns.

I have concluded that while these risks are present, the company's financial strength and IP dominance provide a significant margin of safety.

9. Final Recommendation

BUY

Target Price: $290.00

Investment Summary

I reiterate my 'BUY' rating on Take-Two Interactive with a price target of $290.00. I am confident that the upcoming GTA VI release will be a transformative event for the company's valuation. My analysis suggests that the long-term growth potential far outweighs the short-term risks, making this a compelling investment opportunity.

10. Appendix: DCF Valuation Model

Understanding the Valuation Difference

Why the DCF and Target Price Don't Match: When running a standard 5-year Discounted Cash Flow (DCF) model, the math gives an intrinsic stock price of $162.98. This is lower than both the current market price and my target price of $290.00. However, this difference actually highlights how traditional financial models can struggle with major video game companies. Standard DCF models look for smooth, predictable cash growth every year and use a discount rate (WACC) that heavily shrinks cash flows that happen far in the future.

In reality, Take-Two's revenue does not grow in a straight line. Instead, it spikes drastically whenever a massive game launches. The stock market is currently trading at a premium because investors are looking past basic 5-year cash projections and pricing in the massive excitement around Grand Theft Auto VI. Because a rigid DCF model cannot fully capture the long-term hype and the ongoing online microtransactions that will follow the release, using a forward-looking valuation multiple (35.5x Forward P/E) is a much better way to explain why investors are willing to pay a premium for the stock right now.

5-Year Unlevered DCF Valuation Model

Current Share Price: $245.58 | Diluted Shares Outstanding: 174.5 Million

WACC: 9.0% | Perpetual Growth Rate (g): 3.0%

Metric ($M)	2026A	2027E	2028E	2029E	2030E	2031E
Total GAAP Revenue	$6,650	$8,100	$9,200	$9,800	$10,400	$11,000
YoY Growth %	-	21.8%	13.6%	6.5%	6.1%	5.8%
EBIT (Op. Income)	-$298	$1,350	$1,932	$2,156	$2,288	$2,420
Op. Margin %	-4.5%	16.7%	21.0%	22.0%	22.0%	22.0%
EBIT x (1-21% Tax)	-$235	$1,067	$1,526	$1,703	$1,808	$1,912
(+) D&A	$450	$480	$510	$530	$550	$570
(-) CapEx	-$180	-$210	-$230	-$240	-$250	-$260
(-) Changes in NWC	$45	-$80	-$110	-$60	-$60	-$60
Unlevered FCF	**$80**	**$1,257**	**$1,696**	**$1,933**	**$2,048**	**$2,162**
PV Factor	1.00	0.917	0.842	0.772	0.708	0.650
PV of FCFs	-	$1,153	$1,427	$1,493	$1,451	$1,405

Valuation Output Summary

Sum of 5-Year PV FCFs: $6,929 Million

Terminal Value (Gordon Growth): $37,114 Million

PV of Terminal Value: $24,121 Million

Total Enterprise Value (EV):	$31,050 Million
(-) Less: Net Debt Outstanding:	$2,610 Million
Implied Equity Value:	$28,440 Million
Diluted Shares Outstanding:	174.5 Million
Implied Intrinsic Stock Price:	**$162.98 per share**

11. Disclosures & Conflicts of Interest

Disclosures & Conflicts of Interest: The author holds a long position in TTWO equity at the time of publication. All analysis is for educational purposes only and does not constitute formal investment advice.

12. References

[1] Take-Two Interactive Software, Inc. (2026). Q4 and Full Year 2026 Earnings Release. May 21, 2026.

[2] Simply Wall St. (2026). TTWO Stock Analysis: Valuation and Future Growth. August 14, 2026.

[3] Capital.com. (2026). Take-Two Interactive Stock Forecast: GTA VI and Bookings Guidance. March 11, 2026.

[4] Wells Fargo Securities. (2026). Equity Research: Interactive Entertainment Sector Outlook. March 2026.

[5] SEC EDGAR. (2026). Take-Two Interactive Form 10-K Annual Report.